studied the proposal but could not decide for or against the establishment of a State Bank in India, it recommended the appointment of an expert committee who would examine the question and comment on the desirability and feasibility of the proposal put before it. While the First World War broke out soon after, and no action was taken on the recommendations of the Commission, it was clear that the establishment of such a bank was an idea whose time had come.

The wartime experience of the Presidency Banks soon made it clear to them that it would be in their own interest to amalgamate. The decision to amalgamate was announced in the Indian Legislative Council in September 1919 and the Imperial Bank of India Bill was introduced on March 1, 1920. It was passed in September 1920 and the amalgamation came into effect from January 1921. Though primarily a commercial bank, it was appointed as the sole banker to the government for a period of ten years. It also managed the public debt of the Government of India and to an extent acted as the banker to banks. While the bank was formed by the amalgamation of the three Presidency Banks as suggested by Keynes, note issue and management of foreign exchange continued to be performed by the central government. Thus, it was not the full-fledged ‘State Bank’ as envisaged by Keynes.

A Separate Central Bank

Among official documents, there was no systematic exposition of India’s banking problems till the Hilton Young Commission, placed in the forefront proposals for a central bank and stressed the need for an inquiry into and improvements of ordinary commercial banking. The Herschell Committee, the Fowler Committee, and the Babington Smith Committee were all concerned exclusively with India’s currency problems and made no more than incidental references to banking and credit conditions. The Chamberlain Commission, as we have noted, found place for an annexure in which it presented Keynes’ scheme for a mixed central bank on the lines of the Bank of France. The need for a central bank, however, did not become an article of accepted faith in India till central banks, independent of government influence were proclaimed in international conferences as